

A stock exchange* is an organized marketplace where securities like shares, bonds, and other financial instruments are bought and sold. Think of it as a giant, regulated auction house for companies and investors.

1. *Companies list shares* - When a company wants to raise money, it “goes public” through an IPO and lists its shares on an exchange like the NYSE, Nasdaq, or Nigerian Exchange Group (NGX).

2. *Investors trade* - People buy/sell those shares through brokers. Prices move up or down based on supply, demand, company performance, and market sentiment.

3. *Regulation* - Exchanges have rules set by bodies like the SEC in the US or SEC Nigeria to keep trading fair and transparent.

- *For companies*: Raises capital for growth without taking loans.

- *For investors*: Chance to own part of a company and earn from dividends or price increases.

- *For the economy*: Shows how confident people feel about business. A rising market often means optimism; a falling one signals caution. -

Meaning of words related with stock exchange

****Share/Stock** A unit of ownership in a company. If you own shares, you own a slice of that company.

Initial Public Offering. The first time a company sells shares to the public to get listed on an exchange.

****Bull Market** Period when prices are rising and investors feel confident. Think: bull charges upward.

****Bear Market** Period when prices are falling 20%+ and pessimism dominates. Think: bear swipes downward.

****Broker** Licensed person or firm that buys/sells stocks for you. Examples: Robinhood, Bamboo, Chaka.

****Portfolio** All the investments one person owns. Like your personal collection of stocks, bonds, etc.

****Dividend** Part of a company’s profit paid to shareholders, usually quarterly. Extra income

beyond stock price.

****Market Cap** Market Capitalization = Share Price × Total Shares. Shows company size. Large

****Index** A group of stocks used to track market performance. E.g., NGX All-Share Index in Nigeria, S&P 500 in the US.

Bid = highest price buyers will pay. Ask = lowest price sellers will accept. The gap is the “spread.”

****Volatility** How fast and how much a stock’s price moves. High volatility = risky but more profit potential.

****Blue Chip** Shares of large, stable, well-known companies with a history of reliable performance. E.g., Dangote Cement, MTN Nigeria.

****Circuit Breaker** Temporary trading halt when the market drops too fast. Prevents panic selling.

****Liquidity** How easily you can buy/sell a stock without affecting its price. High liquidity = easy to trade.